

THE WORLD BANK GROUP

The Digital Transformation Imperative: Harnessing Technology for Inclusive Growth

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Executive Summary

Context and Motivation

The digital economy is reshaping how goods are produced, how services are delivered, and how workers earn a living. For developing countries, the digital transformation represents both an unprecedented opportunity to leapfrog traditional development pathways and a profound risk of new forms of exclusion and technological dependency.

This World Development Report examines the conditions under which digital technologies contribute to inclusive economic growth, focusing on three dimensions: (i) access to digital infrastructure, (ii) adoption of digital tools by firms and workers, and (iii) adaptation of institutions and regulatory frameworks to the digital economy.

The Opportunity

Evidence from 78 developing countries shows that a 10 percentage point increase in broadband penetration is associated with a 1.4 percentage point increase in GDP per capita growth, with larger effects in lower-income countries. The productivity gains from digital adoption in manufacturing and services sectors are particularly striking: firms that fully digitize their operations show 22 percent higher total factor productivity on average.

The platform economy has created new income opportunities for workers in developing countries. An estimated 154 million workers globally now earn income through digital labor platforms, with the largest growth occurring in South Asia and Sub-Saharan Africa. For many, platform work provides the first access to formal income streams and digital financial services.

The Risks

Despite these opportunities, digitalization also poses significant risks for equitable development. The digital divide remains stark: in low-income countries, only 26 percent of the population uses the internet, compared to 93 percent in high-income countries. Within countries, gender, income, age, and geographic gaps in digital access and skills perpetuate and sometimes amplify existing inequalities.

Automation threatens to displace workers in sectors such as manufacturing, data entry, and routine services—sectors that have historically served as entry points into the formal economy for low-skilled workers. Projections suggest that up to 85 million jobs in developing countries face high risk of automation over the next decade, with disproportionate impacts on women and young workers.

A Framework for Inclusive Digital Transformation

This report proposes a three-pillar framework for governments seeking to harness digital technologies for inclusive growth:

Pillar 1 — Infrastructure for All: Universal access to affordable, reliable broadband internet is the foundational prerequisite. This requires regulatory reform to encourage competition, targeted public investment in underserved areas, and spectrum management policies that prioritize connectivity.

Pillar 2 — Digital Skills and Lifelong Learning: Education systems must be redesigned to equip workers with digital skills at every stage of the lifecycle. This includes digital literacy programs for adults, coding education in schools, and reskilling programs for displaced workers.

Pillar 3 — Adaptive Governance: Regulatory frameworks must balance innovation with consumer protection, data privacy, and competition. Governments need capacity to develop and enforce digital regulations while creating sandboxes for experimentation.

Chapter 1: The State of the Digital Economy in Developing Countries

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Chapter 2: Digital Infrastructure: Connectivity and the Cost of Access

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